CAMBRIDGE
International Examinations

Cambridge
O Level

SYLLABUS

Cambridge O Level
Commerce
7100

For examination in June and November 2018, 2019 and 2020

Cambridge Secondary 2

Version 1

Changes to syllabus for 2018, 2019 and 2020

This syllabus has been updated. Significant changes to the syllabus are indicated by black vertical lines either side of the text.

Changes to the assessment

Changes have been made to Paper 2:

Optionality has been removed. Candidates are required to answer all questions.

The answer booklet has been removed and candidates now answer on the question paper.

Paper 2 has been given the title 'Written'.

Changes to the assessment objectives

AO2 (Application) has been updated to include mention of the use of numerical information and simple calculations.

AO3 (Analysis) has been updated to include analysis of written **and numerical** problems relating to a commercial situation to make clear that numerical problems are involved.

The weightings of the four AOs have been adjusted. For the overall qualification, AO1 and AO3 have decreased by 1 per cent each to 33 per cent and 21 per cent respectively. AO2 and AO4 have increased by 1 per cent each to 29 per cent and 17 per cent respectively.

Changes to the syllabus aims

The syllabus aims have been updated to reflect:

The requirement for candidates to apply skills to both written **and numerical** information.

The need for candidates to appreciate changes in commercial environments and the effects of innovation and change on commercial activities.

Changes to the syllabus content

A new topic, *changing environment of commerce*, has been added.

Consumer protection has been moved into the *changing environment of commerce*.

In addition, the content has been updated, modernised and is described in greater detail. Command words are included as part of the syllabus content to illustrate the level to which areas of the syllabus need to be studied and the skills that candidates will be required to demonstrate.

You are strongly advised to read the whole syllabus before planning your teaching programme.

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1. Introduction

1.1 Why choose Cambridge?

Cambridge International Examinations is part of the University of Cambridge. We prepare school students for life, helping them develop an informed curiosity and a lasting passion for learning. Our international qualifications are recognised by the world's best universities and employers, giving students a wide range of options in their education and career. As a not-for-profit organisation, we devote our resources to delivering high-quality educational programmes that can unlock learners' potential.

Our programmes set the global standard for international education. They are created by subject experts, are rooted in academic rigour, and provide a strong platform for progression. Over 10 000 schools in 160 countries work with us to prepare nearly a million learners for their future with an international education from Cambridge.

Cambridge learners

Cambridge programmes and qualifications develop not only subject knowledge but also skills. We encourage Cambridge learners to be:

- **confident** in working with information and ideas – their own and those of others
- **responsible** for themselves, responsive to and respectful of others
- **reflective** as learners, developing their ability to learn
- **innovative** and equipped for new and future challenges
- **engaged** intellectually and socially, ready to make a difference.

Recognition

Cambridge O Level is internationally recognised by schools, universities and employers as equivalent in demand to Cambridge IGCSE® (International General Certificate of Secondary Education). There are over 700 000 entries a year in nearly 70 countries. Learn more at **www.cie.org.uk/recognition**

Support for teachers

A wide range of materials and resources is available to support teachers and learners in Cambridge schools. Resources suit a variety of teaching methods in different international contexts. Through subject discussion forums and training, teachers can access the expert advice they need for teaching our qualifications. More details can be found in Section 2 of this syllabus and at **www.cie.org.uk/teachers**

Support for exams officers

Exams officers can trust in reliable, efficient administration of exams entries and excellent personal support from our customer services. Learn more at **www.cie.org.uk/examsofficers**

Our systems for managing the provision of international qualifications and education programmes for learners aged 5 to 19 are certified as meeting the internationally recognised standard for quality management, ISO 9001:2008. Learn more at **www.cie.org.uk/ISO9001**

1.2 Why choose Cambridge O Level?

Cambridge O Levels have been designed for an international audience and are sensitive to the needs of different countries. These qualifications are designed for learners whose first language may not be English and this is acknowledged throughout the examination process. The Cambridge O Level syllabus also allows teaching to be placed in a localised context, making it relevant in varying regions.

Our aim is to balance knowledge, understanding and skills in our programmes and qualifications to enable students to become effective learners and to provide a solid foundation for their continuing educational journey.

Through our professional development courses and our support materials for Cambridge O Levels, we provide the tools to enable teachers to prepare learners to the best of their ability and work with us in the pursuit of excellence in education.

Cambridge O Levels are considered to be an excellent preparation for Cambridge International AS and A Levels, the Cambridge AICE (Advanced International Certificate of Education) Group Award, Cambridge Pre-U, and other education programmes, such as the US Advanced Placement program and the International Baccalaureate Diploma programme. Learn more about Cambridge O Levels at **www.cie.org.uk/cambridgesecondary2**

Guided learning hours

Cambridge O Level syllabuses are designed on the assumption that learners have about 130 guided learning hours per subject over the duration of the course, but this is for guidance only. The number of hours required to gain the qualification may vary according to local curricular practice and the learners' prior experience of the subject.

1.3 Why choose Cambridge O Level Commerce?

Cambridge O Levels are established qualifications that keep pace with educational developments and trends. The Cambridge O Level curriculum places emphasis on broad and balanced study across a wide range of subject areas. The curriculum is structured so that candidates attain both practical skills and theoretical knowledge.

Cambridge O Level Commerce is recognised by universities and employers throughout the world as proof of knowledge and understanding.

Cambridge O Level Commerce candidates gain an introduction to the nature of commercial activities, how these activities are affected by changes in the commercial environment, and the impact they have on national and international consumers, producers, retailers and wholesalers. The syllabus looks at the purpose and function of major commercial activities, examining language, concepts and decision-making procedures, and the importance of communication and documentation. Candidates learn about the nature and importance of innovation and change, and develop complementary skills of enquiry, interpretation and communication.

Prior learning

Candidates beginning this course are not expected to have studied Commerce previously.

Progression

Cambridge O Levels are general qualifications that enable candidates to progress either directly to employment, or to proceed to further qualifications.

1.4 How can I find out more?

If you are already a Cambridge school

You can make entries for this qualification through your usual channels. If you have any questions, please contact us at **info@cie.org.uk**

If you are not yet a Cambridge school

Learn about the benefits of becoming a Cambridge school at **www.cie.org.uk/startcambridge**. Email us at **info@cie.org.uk** to find out how your organisation can register to become a Cambridge school.

2. Teacher support

2.1 Support materials

We send Cambridge syllabuses, past question papers and examiner reports to cover the last examination series to all Cambridge schools.

You can also go to our public website at **www.cie.org.uk/olevel** to download current and future syllabuses together with specimen papers or past question papers and examiner reports from one series.

For teachers at registered Cambridge schools a range of additional support materials for specific syllabuses is available online from Teacher Support, our secure online support for Cambridge teachers. Go to **http://teachers.cie.org.uk** (username and password required).

2.2 Endorsed resources

We work with publishers providing a range of resources for our syllabuses including print and digital materials. Resources endorsed by Cambridge go through a detailed quality assurance process to ensure they provide a high level of support for teachers and learners.

We have resource lists which can be filtered to show all resources, or just those which are endorsed by Cambridge. The resource lists include further suggestions for resources to support teaching.

2.3 Training

We offer a range of support activities for teachers to ensure they have the relevant knowledge and skills to deliver our qualifications. See **www.cie.org.uk/events** for further information.

3. Syllabus content at a glance

In this syllabus, learners will study the commercial environment in a national and international context. Content is divided into 15 topics covering commercial activities and processes, and the ways in which they are subject to changes brought about by political, social, technological and environmental factors.

The 15 topics in this syllabus are:

- production
- retail trade
- consumer credit
- wholesale trade
- documents of trade
- international trade
- advertising
- communications
- transport
- warehousing
- insurance
- banking
- the business unit
- finance
- changing environment of commerce.

4. Assessment at a glance

All candidates must take Paper 1 and Paper 2. Questions involving simple calculations may be set on any part of the syllabus.

Paper 1 Multiple Choice	**1 hour**
The paper consists of 40 multiple-choice questions. Candidates answer all questions. Some questions may involve simple calculations. Weighting: 30% of total marks 40 marks Externally assessed	

Paper 2 Written	**2 hours**
This is a written paper consisting of structured questions. Candidates answer all questions. Some questions may involve simple calculations. Weighting: 70% of total marks 80 marks Externally assessed	

Candidates may use an electronic calculator for both papers. Algebraic or graphic calculators are not permitted.

Availability

This syllabus is examined in the June and November examination series.

This syllabus is available to private candidates.

Detailed timetables are available from **www.cie.org.uk/examsofficers**

Cambridge O Levels are available to Centres in Administrative Zones, 3, 4 and 5. Centres in Administrative Zones 1, 2 or 6 wishing to enter candidates for Cambridge O Level examinations should contact Cambridge Customer Services.

Combining this with other syllabuses

Candidates can combine this syllabus in an examination series with any other Cambridge syllabus, except:

- syllabuses with the same title at the same level.

Please note that Cambridge O Level, Cambridge IGCSE and Cambridge International Level 1/Level 2 Certificate syllabuses are at the same level.

5. Syllabus aims and assessment objectives

5.1 Syllabus aims

The syllabus will enable candidates to:

- develop knowledge and understanding of the purposes and functions of important commercial activities and commercial institutions
- develop knowledge and understanding of the language, concepts and decision-making procedures of commercial activities
- develop knowledge and understanding of the importance of commercial communication and documentation and the impact of information technology on commercial activity
- develop an appreciation of the nature and significance of innovation and change in relation to commercial activities
- develop and apply the skills of selection, analysis and evaluation of written and numerical data
- develop an appreciation of the changing environment within which commercial activities take place.

5.2 Assessment objectives

The four assessment objectives in Cambridge O Level Commerce are:

AO1 Knowledge and Understanding

Candidates should demonstrate their knowledge and understanding of:

- basic principles, techniques and ideas in commerce
- facts and terms relevant to commerce
- key features and purposes of commercial activities
- main documents used in commerce.

AO2 Application

Candidates should be able to:

- apply commercial principles and ideas to given situations, using appropriate terminology
- use relevant data and information in written, visual and numerical form, including simple calculations.

AO3 Analysis

Candidates should be able to:

- identify and select the significant issues in a commercial situation
- analyse written and numerical problems relating to a commercial situation.

AO4 Evaluation

Candidates should be able to:

- make distinctions between evidence and opinion
- make reasoned judgements and communicate them in an accurate and logical manner.

5.3 Relationship between assessment objectives and components

The approximate weighting allocated to each of the assessment objectives is summarised below.

Component	AO1 %	AO2 %	AO3 %	AO4 %	Weighting of component in overall qualification %
Paper 1 Multiple Choice	45	35	10	10	30
Paper 2 Written	28	27	25	20	70
Weighting of AO in overall qualification	33	29	21	17	

6. Syllabus content

The syllabus provides an outline of commercial activities and how these activities are influenced by changes in the commercial environment. Candidates will be expected to appreciate the implications of commercial activities for the consumer, producer, retailer and wholesaler in both home and international trade. Candidates will also be expected to recognise the impact of information technology developments within commercial activities.

During their study, candidates will benefit from the opportunity to visit centres of industry and commerce.

1	PRODUCTION	
1.1	The chain of production	• define the term *production* • show understanding of the production of goods and services to satisfy human wants and needs
1.2	Primary (extractive) industries, secondary (manufacturing and construction) industries and tertiary activities (commercial services and direct services)	• describe these types of industries and activities with examples • explain how people working in primary industries, secondary industries and tertiary activities are part of production • discuss the relative importance of each type of industry within a country
1.3	Specialisation and division of labour	• explain the terms *specialisation* and *division of labour* • describe the different forms of specialisation by: country, region, town, firm, factory, individual • discuss the advantages and disadvantages of division of labour to a manufacturer and a worker
1.4	Commerce	• define the terms *trade* and *commerce* showing the differences between them • discuss how distribution assists commercial activity • explain the nature, purposes and importance of trade, both at home and overseas • discuss how advertising, communications, transport, warehousing, insurance, banking and finance help trade to function • evaluate the extent to which businesses are involved in trade and/or commerce
1.5	The relationship between industry, commerce and direct services	• discuss ways in which industry, commerce and direct services are inter-related and interdependent

2	RETAIL TRADE	
2.1	The role of the retailer in the chain of distribution	• identify functions of the retailer as the middleman between manufacturer and consumer • evaluate possible responses to changes in customer requirements and expectations
2.2	Types of retailer	• describe the characteristics of different types of retailer, including: large and small (hypermarkets, supermarkets, multiples, department stores, speciality shops, unit/independent retailers, street markets) • discuss the advantages and disadvantages of each type of retailer
2.3	Large-scale and small-scale retailing	• discuss the advantages and disadvantages of large-scale retailing • discuss the effects of large-scale retailers on wholesalers, other retailers and consumers • explain why the small-scale retailer often survives, including: personal service, opening hours, additional services provided
2.4	Selling techniques and methods and the implications of e-commerce	• discuss the importance, advantages and disadvantages of selling techniques, including: branding, own brands, logos, packaging, self-service, after-sales service, barcoding, Electronic Point of Sale (EPoS), direct mail, factory outlets, shopping centres and internet auctions • describe the use of computers to aid retailing • describe characteristics of mail order, telesales, television shopping, online shopping (e-tailing) and discuss the advantages and disadvantages to retailers and consumers of these methods of selling • evaluate the likely implications for retail outlets and consumers of the growth of online shopping and e-commerce
2.5	Trends in retailing	• describe trends in retailing, including: omnichannel retailing, self-service check-outs, development of loyalty programmes, virtual retailing, mobile retailing (m-commerce), shopping anywhere/anytime

3	CONSUMER CREDIT	
3.1	Use of credit	• outline the concept of credit • analyse reasons for the increased use of credit • discuss the advantages and disadvantages of credit to the buyer and the seller
3.2	Types of credit	3.2.1 Hire purchase • identify main features • discuss advantages and disadvantages to consumers and retailers • explain how the finance of hire purchase operates compared with extended credit
		3.2.2 Extended credit (deferred payments) • identify main features • discuss advantages and disadvantages to consumers and retailers
		3.2.3 Store cards • identify main features • discuss advantages and disadvantages to consumers and retailers
		3.2.4 Credit cards • identify main features • discuss advantages and disadvantages to consumers and retailers
		3.2.5 Informal credit • identify main features • discuss advantages and disadvantages to consumers and retailers
3.3	Suitability of different types of credit	• evaluate the suitability of different methods of credit in given situations (including calculations of the cost associated with different methods of credit)

4	WHOLESALE TRADE	
4.1	The role of the wholesaler in the chain of distribution	• explain different patterns of distribution and evaluate their use in given situations • analyse trends in wholesaling: forces making for the elimination and the survival of the independent wholesaler
4.2	Functions and services of the wholesaler	• describe functions and services provided by the wholesaler • evaluate the importance of the wholesaler to the manufacturer and retailer
4.3	Intermediaries	• evaluate the role of agents (including brokers and factors) and export merchants in international trade

5	DOCUMENTS OF TRADE	
5.1	Documents of home trade	• identify and interpret key information and explain the purposes of documents used in home trade, including: enquiry, quotation, price list, order, invoice, advice note, delivery note, credit note, statement of account, receipt
5.2	Terms of payment	• define the terms *cash discount*, *trade discount* and *mark-up* • calculate cash discount, trade discount and mark-up and evaluate their use in given situations (including calculations)

6	INTERNATIONAL TRADE	
6.1	The importance of international trade	• define the term *global market* • explain the benefits of international trade to a country • define imports, exports, visible and invisible trade • apply these terms to given products or services • examine the interdependence of countries within the global market
6.2	Balance of Trade and Balance of Payments	• differentiate between Balance of Trade and Balance of Payments • calculate and interpret statistics relating to international trade, including Balance of Trade and Balance of Payments from given figures • explain how commercial activities may affect the Balance of Trade/Balance of Payments
6.3	Customs authorities	• describe the main functions of customs authorities, including: collection of duties, collection of trade statistics, enforcement of trade restrictions, supervision of bonded warehouses • explain how the work of customs authorities affects trade
6.4	Free trade, trading blocs and protectionism	• describe free trade • describe the main features and aims of a trading bloc • discuss the advantages and disadvantages of joining a trading bloc, e.g. ASEAN, European Union, SADC • evaluate the importance of free ports in international trade • explain how restrictions on trade are applied, including: licences, tariffs, quotas, embargoes and their possible effects on commercial activities
6.5	Difficulties faced by exporters and importers	• describe the main difficulties, including: distance, language, methods of payment, documentation, transport, different customs, non-payment, currencies, exchange rates, duties, competition

7	ADVERTISING	
7.1	The role of advertising	• show understanding of the purposes of advertising • describe the types of advertising: informative, persuasive, collective (generic) and competitive and explain when they would be used • discuss the advantages, dangers and criticisms of advertising when selling goods and services
7.2	Media	• identify the main forms of advertising media, including: television, radio, internet, cinema, newspapers (local and national), magazines, trade journals, trade fairs and shows, leaflets/flyers, packaging, direct mail, sponsorship, catalogues/brochures, digital billboards, transport vehicles, displays – point of sale and window, neon lights, signs • discuss the advantages and disadvantages of the main forms of advertising media • evaluate the factors affecting choice of medium in given situations
7.3	Methods of appeal (devices)	• explain methods of appeal (devices), including: colour, emotions, ambition, famous people, music • select methods of appeal in given situations
7.4	Sales promotion	• distinguish between advertising and sales promotion and explain why businesses use sales promotions • describe methods of promotion, including: point of sale, offers, sponsorship, displays, competitions, coupons, sales periods, loss leaders • evaluate the factors affecting choice of sales promotion methods in given situations
7.5	Trends in advertising	• describe trends, including: digital billboards, product placement, importance of internet advertising, mobile phone advertising, use of social media, digital video

8	COMMUNICATIONS	
8.1	Importance of communications in trade and the global market	• show understanding of the importance of communications in trade and the global market • evaluate the need for rapid and accurate communication in trade and in the global market
8.2	Methods of communications, internal and external	• describe methods of communication, including: oral, written, telephonic, electronic (including: mobile phones, internet, intranet, email, teleconferencing, videoconferencing) and explain how each might be used in a given situation • discuss factors affecting choice of method in given situations
8.3	Postal services	• describe postal services • explain in what circumstances different postal services might be used
8.4	Trends in communication	• identify trends and developments in communication, including: computer hardware (tablets, smartphones, in-touch interfaces), use of social media, application stores (app stores) and importance of the mobile phone as a multi-functional tool

9	TRANSPORT	
9.1	Transportation	• evaluate the importance of transportation in the chain of distribution • describe the characteristics of different methods: road, rail, air, sea, waterways, pipeline • describe different modes of transport used for road, rail, air and sea, including: passenger train, goods train, ferry, tanker, bulk carrier, cruise liner, container ship, cargo liner, delivery vans, buses, shared taxis, passenger aircraft, freight planes • evaluate the factors affecting choice of method in given situations • evaluate the benefits to a business of having own transport
9.2	Containerisation	• identify main features • discuss advantages and disadvantages • discuss reasons for increased use
9.3	Ports and airports	• describe services offered at seaports and airports for the handling of goods and passengers
9.4	Transport documents	• identify and use the key information and explain the purposes of transport documents: delivery/ consignment note, bill of lading, air waybill (including calculations)
9.5	Developments and trends in transportation	• explain developments and trends in the handling of goods and passengers, including: growth of air freight, express road routes, changes in use of rail transport, high speed trains, mass rapid transport, importance of logistics, increased use of freight forwarders, demands on transport from global market

10	WAREHOUSING	
10.1	Role of warehousing	• describe warehousing functions • evaluate the importance of warehousing to businesses and trade, including: links with seasonal production, demand, protecting supply and price stability
10.2	Types of warehouse	• identify the main features of bonded, cold storage, cash and carry, manufacturers' and retailers' warehouses and large-scale retailers' regional distribution centres • evaluate the importance of each in either home or international trade

11 INSURANCE	
11.1 Purposes of insurance	• describe the purposes, including: risk reduction, compensation, financial protection, business confidence, investment • evaluate the importance of pooling of risk
11.2 Business and personal risks	• identify and describe the main types of business and personal risk and explain why they are important • distinguish between insurable and non-insurable risks • explain why some risks are not insurable
11.3 Insurance principles	• explain the essential elements of insurance principles, including: indemnity (including contribution and subrogation), insurable interest, utmost good faith and explain how they are applied • evaluate the importance of insurance principles when taking out insurance and making a claim in given situations (including calculations relating to insurance premiums and compensation payments)
11.4 Effecting insurance cover	• outline procedures, including calculating premiums • identify the main documents of insurance, including: proposal form, cover note, policy and explain their purposes • evaluate the role of an insurance broker
11.5 Statistical basis of insurance	• analyse factors influencing the level of insurance premium • evaluate insurance quotations
11.6 Effecting a claim	• outline procedures, including claim form

12 BANKING	
12.1 Banking services	• distinguish between deposit/savings accounts and current/cheque accounts • describe services and documents provided to personal and business customers, including: paying-in slip, bank statement, night safe, ATM services, internet banking, telephone banking • explain when each service and document would be used
12.2 Means of payment for home and international trade activities	• identify the characteristics and purposes of means of payment in home and international trade, including: cash, cheques, credit transfers, standing orders (banker's order), direct debits, debit cards, credit cards, electronic transfers, documentary credits (letters of credit), bank drafts • evaluate factors affecting choice of method of payment in given situations
12.3 Trends in banking	• describe trends, including mobile and digital banking, the mobile wallet • discuss the concept of the cashless society • evaluate the implications of internet banking, including the closure of bank branches

13 THE BUSINESS UNIT	
13.1 Location of a business, including retail units	• evaluate factors to be considered, including: labour, markets, transport, power and raw materials, competition, suppliers, communication, government influence in given situations
13.2 Public and private sectors	• distinguish between enterprises in the public and the private sector • identify the characteristics of public sector enterprises
13.3 Main forms of business organisation in the private sector	• identify the main forms of business organisation, including: sole trader, partnership, limited company (private and public) • describe their characteristics relating to size, ease of setting up, ownership, control, liability of owners (both limited and unlimited), documents required, provision of capital, distribution of profits • evaluate the appropriateness of different forms of ownership in given situations
13.4 Franchises	• describe the main characteristics of franchises • discuss the advantages and disadvantages of franchises for particular businesses
13.5 Multinationals	• define *multinational company* • explain reasons for the existence of multinationals in the global economy • evaluate the importance of multinationals in the global economy • evaluate the opportunities offered to, and conflicting interests of, multinational companies locating in individual countries

14 FINANCE	
14.1 Sources of finance	• distinguish between long-term and short-term finance • discuss the main features, advantages and disadvantages of: – long-term finance, e.g. shares (ordinary and preference), debentures, mortgages, loans, sale and leaseback – short-term finance, e.g. overdraft, factoring, leasing, trade credit, hire purchase • describe methods of self-financing, including: retained earnings (retained profits), sale of assets, savings • evaluate the suitability of choice of finance (including self-financing) in given situations
14.2 Finance for commercial activity	• identify, define, calculate and examine the importance in commercial situations of capital (fixed capital), working capital, assets and liabilities, sales turnover, rate of inventory turnover, gross profit and profit for the year (net profit)
14.3 Improving commercial performance	• explain methods of improving sales turnover, rate of inventory turnover, profit and working capital, including: reducing expenses, increasing mark-up, changing prices, improving marketing, introducing new products in given situations

15	CHANGING ENVIRONMENT OF COMMERCE	
15.1	Commercial activity and the external environment	• define the term *environment of commerce* • identify and explain the external PEST (political, economic, social, technological and environmental) factors that affect commercial activities
15.2	Commercial and environmental effects of e-commerce	• describe the characteristics of an e-shop, including: use of website, wide range of goods, delivery dates, return option • explain commercial effects, including: change in supply, such as retailers supplying directly from warehouses rather than from their stores, more communications (online orders), smaller packages leading to greater use of couriers and air transport, opening of new consumer markets such as China and India • explain environmental effects, including: increased use of transport for deliveries, greater vehicle emissions, less lighting needed in stores, greater use of electricity for use of computers, search for sustainable solutions for the movement of goods
15.3	Commerce and the environment	• identify negative impacts of commerce on the environment, including: exploitation of some countries' natural resources, dangerous products being extensively advertised, retail developments spoiling the natural environment • explain how businesses attempt to deal with environmental impacts, including: recycling, using less packaging, ethically-produced goods, environmentally-friendly products
15.4	Consumer protection	• evaluate the growing importance of consumer protection in the global economy • describe the actions buyers or sellers might take in given situations, including: making a complaint, dealing with faulty or poor quality goods or services

7. Description of components

Paper 1 Multiple Choice

This is a compulsory paper consisting of 40 multiple-choice questions covering the whole of the syllabus content. There are 40 marks available for this component. All questions are compulsory. Candidates answer on an answer sheet. The duration of this component is 1 hour. The component is externally assessed.

Some of the questions require candidates to analyse diagrams and charts and perform simple calculations relevant to Commerce using basic numeracy (addition, subtraction, multiplication and division), percentages and simple ratios.

Paper 2 Written

This is a compulsory paper consisting of structured questions of varying length. There are 80 marks available for this component. All questions are compulsory. Candidates answer on the question paper. The duration of the component is 2 hours. The component is externally assessed.

All questions are based on commercial scenarios and some questions will contain stimulus response material such as numerical, textual and visual information. Some questions will require candidates to perform simple calculations relevant to Commerce using basic numeracy (addition, subtraction, multiplication and division), percentages and simple ratios.

8. Glossary of command words

This glossary should be helpful to candidates as a guide, although it is not exhaustive and it has deliberately been kept brief. The number of marks allocated to any part of a question is a guide to the depth required for the answer.

Command word	What it means
Calculate	Work out the value
Compare	Identify similarities and/or differences
Describe	Set out characteristics
Discuss	Present key points
Explain	Set out purposes or reasons
Evaluate	Judge from available evidence
Identify	Name or otherwise characterise
State	Express in clear terms

9. Other information

Equality and inclusion

Cambridge International Examinations has taken great care in the preparation of this syllabus and assessment materials to avoid bias of any kind. To comply with the UK Equality Act (2010), Cambridge has designed this qualification with the aim of avoiding direct and indirect discrimination.

The standard assessment arrangements may present unnecessary barriers for candidates with disabilities or learning difficulties. Arrangements can be put in place for these candidates to enable them to access the assessments and receive recognition of their attainment. Access arrangements will not be agreed if they give candidates an unfair advantage over others or if they compromise the standards being assessed.

Candidates who are unable to access the assessment of any component may be eligible to receive an award based on the parts of the assessment they have taken.

Information on access arrangements is found in the *Cambridge Handbook* which can be downloaded from the website **www.cie.org.uk/examsofficers**

Language

This syllabus and the associated assessment materials are available in English only.

Grading and reporting

Cambridge O Level results are shown by one of the grades A*, A, B, C, D or E, indicating the standard achieved, A* being the highest and E the lowest. 'Ungraded' indicates that the candidate's performance fell short of the standard required for grade E. 'Ungraded' will be reported on the statement of results but not on the certificate. The letters Q (result pending), X (no results) and Y (to be issued) may also appear on the statement of results but not on the certificate.

Entry codes

To maintain the security of our examinations, we produce question papers for different areas of the world, known as 'administrative zones'. Where the component entry code has two digits, the first digit is the component number given in the syllabus. The second digit is the location code, specific to an administrative zone. Information about entry codes can be found in the *Cambridge Guide to Making Entries*.

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